

Standard deviation Measurement of dispersion about an average showing how widely returns vary over time; when the standard deviation is high, the predicted range of performance is wide, with greater volatility.

Stationary distribution Probability distribution that does not change over time.

Stochastic Nondeterministic or randomly determined.

Stochastic dominance In second order stochastic dominance, risk averse investors prefer one investment over another if it has at least as a high a mean return and it is more predictable.

Survivorship bias Concentrating on things that survived and overlooking those that did not; tendency to exclude failed companies from performance studies.

Systematic risk Risk inherent to the entire market; also known as undiversifiable risk.

Tail risk Risk of moving more than three standard deviations from its current price.

Technical analysis Forecasting of market action by analyzing market data itself.

Time-series momentum See *Absolute momentum*.

Tracking error Measure of how much a portfolio deviates from its benchmark.

Trend following Strategy based on calculations or techniques using past prices to determine the general direction of a market.

t-Statistic Value that allows one to determine if two data sets are significantly different from one another; used when doing hypothesis testing or computing confidence intervals.